22STCV13204 22STCV13204

County: los-angeles

Division: Civil Law and Motion

Department: 509

Hearing date: 2026-06-24

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Case Number: 22STCV13204 Hearing Date: June 24, 2026 Dept: 509

Ganeva Carroll, et al. v. Marcia Frater, et al.

(1) Order to Show Cause Re: Dismissal of Complaint Against Marcia Frater

(2) Motion For Judgment on the Pleadings

MOVING PARTY: (1) Defendant Marcia Frater; (2) Cross-Defendant Kay Wachuku

RESPONDING PARTY(S): (1) Plaintiffs Ganeva Carroll, Karla Curry, Genesis Carroll, Edgar Pierce, and Lamar Edwards; (2) Cross-Complainant Maricia Frater

STATEMENT OF MATERIAL FACTS AND/OR PROCEEDINGS:

Plaintiffs Ganeva Carroll, Karla Curry, Genesis Carroll, Edgar Pierce, and Lamar Edwards (Plaintiffs) are residents of an apartment building owned or managed by defendants Marcia Frater (Frater) and Sherri Williams (Williams). Plaintiffs allege Frater and Williams failed to maintain the property in a habitable condition and retaliated against Plaintiffs for their complaints about the condition of the property. Plaintiffs assert causes of action for (1) breach of implied warranty of habitability, (2) breach of statutory warranty of habitability, (3) breach of covenant of quiet enjoyment, (4) negligence, (5) violation of Civil Code section 1942.4, (6) private nuisance, (7) violation of anti-harassment ordinance, and (8) violation of Civil Code section 1942.5. On February 1, 2024, the Court granted Williams' motion for determination of good faith settlement with Plaintiffs.

Frater filed a First Amended Cross-Complaint against Williams, Kay Wachuku, and WFG Title Company, asserting causes of action for (1) breach of contract, (2) negligent misrepresentation (3) fraudulent misrepresentation, (4) breach of implied covenant of good faith and fair dealing, (5) indemnification, and (6) fraudulent concealment. On April 4, 2025, judgment was entered in favor of WFG Title Company. On April 24, 2025, judgment was entered in favor of Williams.

On March 13, 2025, this action was automatically stayed because Frater filed for Chapter 7 bankruptcy.

On July 24, 2025, the stay was lifted after Frater indicated that the bankruptcy was discharged on July 9. 2025.

On September 8, 2025, Cross-Defendant Kay Wachuku (Wachuku) filed a motion for judgment on the pleadings

On September 29, 2025, Frater moved to dismiss Plaintiffs' claims alleging the claims had been discharged in bankruptcy.

On October 24, 2025, the Court stayed the case and continued the matter to April 23, 2026.

On April 23, 2026, the Court continued the matter until June 24, 2026, to allow all parties to submit further briefing on the issue. Plaintiffs, Frater, and cross-defendant Kay Wachuku all filed supplemental briefings.

The Court now considers the entire record before it.

TENTATIVE RULING:

Plaintiffs' complaint against defendant Marcia Frater is DIMISSED WITH PREJUDICE.

Cross-Defendant Wachuku's motion for judgment on the pleadings is GRANTED.

Clerk to give notice to all interested parties, unless waived.

DISCUSSION:

(1) Order to Show Cause Re: Dismissal

Generally, a Chapter 7 bankruptcy discharge order "operates as an injunction against the commencement or continuation of an action, the employment of process, or an act, to collect, recover or offset any such debt as a personal liability of the debtor, whether or not discharge of such debt is waived." (11 U.S.C. § 524(a)(2).)

Plaintiffs argue the Chapter 7 discharge order does not apply to their claims against Frater because: (1) they had no notice of the bankruptcy petition pursuant to 11 U.S.C §523(a)(3); and (2) their claims fall within the exceptions under 11 U.S.C. §523(a)(6) ("willful and malicious injury by the debtor").

A. The Court's Jurisdiction

Here, Plaintiffs are challenging the discharge of Frater's debt pursuant to the exclusions in 11 U.S.C. § 523(a)(3) and 11 U.S.C §523 (a)(6). However, while the Court has jurisdiction to consider the exclusions under 11 U.S.C. § 523(a)(3), the Court does not have jurisdiction to determine whether a debt is excluded from bankruptcy under 11 U.S.C. § 523(a)(6).

"The jurisdiction of the bankruptcy courts, like that of other federal courts, is grounded in, and limited by, statute." (Celotex Corp. v. Edwards (1995) 514 U.S. 300, 307.) Federal Rule of Bankruptcy Procedure, Rule 4007 prescribes the procedure to be followed when a party requests the court to determine dischargeability of a debt pursuant to Section 523. Rule 4007 states, in relevant part, "a complaint to determine whether a debt is dischargeable under § 523(c) must be filed within 60 days after the first date set for the § 341(a) meeting of creditors." (FRBP Rule 4007(b).) Section 523(c) states that, "the debtor shall be discharged from a debt of a kind specified in paragraph (2), (4), or (6) of subsection (a) of this section, unless, on request of the creditor to whom such debt is owed, and after notice and a hearing, the court determines such debt to be excepted from discharge under paragraph (2), (4), or (6)." (11 U.S.C. § 523(c)(1).) By creating procedure specific to Section 523(a)(2), (4), or (6), FRBP, Rule 4007 creates a distinction between these three exceptions as compared to the other exceptions outlined in Section 523.

As the Advisory Committee Notes on Rule 4007 states:

Subdivision (b) does not contain a time limit for filing a complaint to determine the dischargeability of a type of debt listed as nondischargeable under § 523(a)(1), (3), (5), (7), (8), or (9). Jurisdiction over this issue on these debts is held concurrently by the bankruptcy court and any appropriate nonbankruptcy forum.

Subdivision (c) differs from subdivision (b) by imposing a deadline for filing complaints to determine the issue of dischargeability of debts set out in § 523(a)(2), (4) or (6) of the Code. The bankruptcy court has exclusive jurisdiction to determine dischargeability of these debts. If a complaint is not timely filed, the debt is discharged. See § 523(c).

(FRBP Rule 4007, Advisory Committee Notes.)

This distinction is important as Plaintiffs seek determination of exceptions under both 523(a)(3) and (6). In short, "[w]hile a creditor disputing the dischargeability of its debt under section 523(a)(2), (4), or (6) must file an objection to discharge in a bankruptcy court, a creditor with a debt listed as nondischargeable under section 523(a)(1), (3), (5), (7), (8) or (9) may bring suit on its claim in any appropriate nonbankruptcy forum, even after the close of the prior bankruptcy proceeding." (In re Marriage of Henderson (1990) 225 Cal.App.3d 531, 534, internal citations omitted.)

As a result, the Court cannot consider whether the exception under 11 U.S.C. § 523(a)(6) applies because the bankruptcy court has exclusive jurisdiction to make such determination. However, the Court does have concurrent jurisdiction to consider whether Frater's debt to Plaintiffs falls into the exception under 11 U.S.C. § 523(a)(3) for Frater's failure to list Plaintiffs' names in the bankruptcy proceeding.

B. Plaintiffs had Sufficient Notice of the Bankruptcy Proceeding

Plaintiffs challenge the sufficiency of notice by stating that "Defendant's own Petition demonstrates that the claims at issue were not properly listed with respect to each of the Plaintiffs." (6/17/26 Opp. at p. 5:16-17.)

Indeed, 11 U.S.C. § 523(a)(3) creates an exception for debts:

neither listed nor scheduled under section 521(a)(1) of this title, with the name, if known to the debtor, of the creditor to whom such debt is owed, in time to permit--

(A) if such debt is not of a kind specified in paragraph (2), (4), or (6) of this subsection, timely filing of a proof of claim, unless such creditor had notice or actual knowledge of the case in time for such timely filing; or

(B) if such debt is of a kind specified in paragraph (2), (4), or (6) of this subsection, timely filing of a proof of claim and timely request for a determination of dischargeability of such debt under one of such paragraphs, unless such creditor had notice or actual knowledge of the case in time for such timely filing and request;

(11 U.S.C. § 523(a)(3), italics added.)

It is undisputed that Frater did not list each individual Plaintiff's in their list of creditors but instead named "Friedman & Chapman, LLP" as the creditor. (See Frater Decl., Exh. C at §4.18.) Frater listed the claim as "Civil Lawsuit" and gave the last four digits of the account as “3204,” the last four digits of this actions case number (LASC NO. 22STCV13204). (Ibid.) Notice was mailed by first class mail to “Friedman & Chapman, LLP, 1342 Coronado Ave., Long Beach, CA 90804-2807.” (See Frater Decl., Exh. B.) Plaintiffs allege that this is insufficient notice of the bankruptcy proceeding.

However, 11 U.S.C. § 523(a)(3) provides that notice or actual knowledge of the bankruptcy proceeding given in a sufficient time to file a response, is adequate to overcome the strict formalities. Here, Plaintiffs received such notice through their counsel, Friedman & Chapman, LLP. Friedman & Chapman, LLP, have been Plaintiffs’ counsel of record in this action continuously since the filing on the complaint on April 20, 2022. (See Compl.) Frater provided a notice of bankruptcy to Plaintiffs’ counsel in this action on March 13, 2025. (See 3/13/25 Proof of Service.) Plaintiffs’ counsel was given actual knowledge of this bankruptcy action in time to file a complaint or otherwise act in the underlying bankruptcy proceeding because the filing deadline was June 2, 2025, nearly three months after Plaintiffs’ counsel was given this notice. (See Frater Decl., Exh. B.) Therefore, Plaintiffs were given sufficient knowledge of the bankruptcy proceedings under 11 U.S.C. § 523(a)(3).

This conclusion is not unique. In In Re Price, the court held that a creditor was given proper notice of the debtor’s filing of a petition in bankruptcy when he was not listed as a creditor in the filing but his attorney, who was representing the creditor in a suit on the claim that the creditor sought to have declared nondischargeable, received notice of the filing from the debtor’s counsel. (In re Price (9th Cir. 1989) 871 F.2d 97, 97.) There, “[creditor] sued [debtor] in state court in regard to a contract dispute.” (Ibid.) However, “before the suit was resolved, [debtor] filed a petition for Chapter 7 bankruptcy relief. [Creditor] was not listed on [debtor’s] schedule of creditors and thus was not notified by the bankruptcy court of the bar date for the filing of dischargeability complaints pursuant to section 523(c) of the Bankruptcy Code. There is no evidence of when [creditor] was personally notified of the bankruptcy proceeding.” (Ibid.) Instead, “[creditor’s] counsel in the state court suit against [debtor] received a Notice of Injunction from [debtor’s] counsel which stated that a bankruptcy petition had been filed and that the state court suit would be subject to the automatic stay. This notice did not contain any deadline dates, and [creditor’s] counsel assumed that further notices would be forthcoming from the bankruptcy court. (Id. at p. 98.) Despite these facts, the court found that the creditor’s counsel “was given actual notice of the bankruptcy proceedings in time to file a complaint, or at least to file a timely motion for an extension of time. At that time he was pursuing the same claim in state court that the appellant now seeks to have declared nondischargeable. We hold that under these circumstances notice to counsel constituted notice to the [creditor].” (Id. at p. 99.) “When [creditor’s] attorney was notified of the bankruptcy of [debtor], [creditor] was given reasonable notice of the action, and he had sufficient opportunity to present his objections at that time.” (Ibid.)

Here, Plaintiffs situation is significantly similar to that of the creditor in In re Price. In the end, Plaintiffs were given sufficient notice of the bankruptcy proceedings. As a result, Frater’s debt to Plaintiffs is not excluded under 11 U.S.C. § 523(a)(3) for failing to list or schedule Plaintiffs individually.

Accordingly, Chapter 7 bankruptcy proceeding applies to Plaintiffs’ claims and therefore, Plaintiffs may not continue this action against Frater.

Plaintiffs’ complaint as to defendant Marcia Frater is DISMISSED WITH PREJUDICE.

(2) Motion For Judgment on the Pleadings

I. Legal Standard

The rules applicable to demurrers also apply to motions for judgment on the pleadings. (County of Orange v. Association of Orange County Deputy Sheriffs (2011) 192 Cal.App.4th 21, 32.) A motion for judgment on the pleadings is properly granted when the “complaint does not state facts sufficient to constitute a cause of action against that defendant.” (Code Civ. Proc., § 438, subd. (c)(1)(B)(ii).) The grounds for the motion must appear on the face of the challenged pleading or from matters that may be judicially noticed. (Code Civ. Proc., § 438, subd. (d).) The trial court must accept as true all material facts properly pleaded, but does not consider conclusions of law or fact, opinions, speculation, or allegations contrary to law or facts that are judicially noticed. (Stevenson Real Estate Services, Inc. v. CB Richard Ellis Real Estate Services, Inc. (2006) 138 Cal.App.4th 1215, 1219-20.) “A motion for judgment on the pleadings may be made at any time either prior to the trial or at the trial itself.” (Stoops v. Abbassi (2002) 100 Cal.App.4th 644, 650.) “In deciding or reviewing a judgment on the pleadings, all properly pleaded material facts are deemed to be true, as well as all facts that may be implied or inferred from those expressly alleged.” (Fire Ins. Exch. v. Super. Ct. (2004) 116 Cal.App.4th 446, 452.)

II. Analysis

Wachuku files this motion for judgment on the pleadings against Frater on numerous grounds including uncertainty and failure to state a claim. However, given the bankruptcy proceedings as discussed above, Plaintiff lacks standing to bring this action against Wachuku.

1. Standing

To bring a claim, the plaintiff or cross-complainant must be the real party in interest. (Code Civ. Proc., § 367; Cloud v. Northrop Grumman Corp. (1998) 67 Cal.App.4th 995, 1004.) It is the “[t]he widely accepted rule is that after a person files for bankruptcy protection, any causes of action previously possessed by that person become the property of the bankrupt estate.” (Id. at p. 1001; See 11 U.S.C. §§ 541(a)(1).)

When a person prosecutes a petition for chapter 7 bankruptcy, the bankruptcy trustee, as the representative of the bankruptcy estate, becomes the real party in interest over the debtor’s “pre-petition” causes of actions or claims. That is because those causes of actions or claims, upon the debtor’s filing for bankruptcy, “bec[a]me [the] property of the bankruptcy estate.” (Bostanian v. Liberty Savings Bank (1997) 52 Cal.App.4th 1075, 1081.) “Thus, generally speaking, a pre-petition cause of action is the property of the Chapter 7 bankruptcy estate, and only the trustee in bankruptcy has standing to pursue it.” (M & M Foods, Inc. v. Pacific American Fish Co., Inc. (2011) 196 Cal.App.4th 554, 562.) Only the trustee has standing to assert any pre-petition claims until the claims are abandoned. (Bostanian at p. 1081-82.) One way for the trustee to abandon the claim is to disclose the claim(s) in the bankruptcy petition. (See 11 USC § 554(c).) When they are not disclosed, however, those claims are not abandoned and do not revert back to the debtor.

Here, these claims are pre-petition claims. Frater did not list these assets in her petition and there is no indication that the trustee has disclosed these claims. Therefore, they have not been abandoned by the trustee and Frater lacks standing.

2. Judicial Estoppel

Judicial estoppel applies to preclude a party from assuming a position in a legal proceeding inconsistent with one previously asserted; and looks to the connection between the litigant and the judicial system, unlike equitable estoppel which looks at the relationship between the litigants. The doctrine of judicial estoppel should apply when: (1) the same party has taken two positions; (2) the positions were taken in judicial or quasi judicial administrative proceedings; (3) the party was successful in asserting the first position (i.e., the tribunal adopted the position or accepted it as true); (4) the two positions are totally inconsistent; and (5) the first position was not taken as a result of ignorance, fraud, or mistake. (International Engine Parts, Inc. v. Feddersen & Co. (1998) 64 Cal.App.4th 345, 350-351.)

One seeking the benefits of protection under the bankruptcy law has a concomitant duty to disclose to the creditors all of the debtor’s interests and property rights without limitation. Pursuant to 11 United States Code §521(1) of the Bankruptcy Code, the debtor is required to “file . . . a schedule of assets and liabilities. . . and a statement of the debtor’s financial affairs[.]” “It is a long-standing tenet of bankruptcy law that one seeking the benefits of protection under the bankruptcy law has a concomitant duty to disclose to the creditors all of the debtor’s interests and property rights without limitation.” (International Engine Parts, Inc. v. Feddersen & Co, supra, 64 Cal.App.4th at p. 351.) Included in the information subject to mandatory disclosure is the possibility of any litigation likely to arise in a nonbankruptcy context. (Ibid.) In International Engine, the court held that the evidence was clear that the creditor was aware of the potential claim against respondent but intentionally chose not to disclose it in connection with their motion before the bankruptcy court. (Id. at p. 352-353.) The International Engine court stated that “where parties to an action pending in our courts have been properly known to have been less than sufficiently forthcoming in another tribunal, the doctrine of judicial estoppel is available to maintain the integrity of our judicial system.” (Id. at p. 354.)

However, “in bankruptcy filings, standing alone, is insufficient to support the finding of bad faith intent necessary for the application of judicial estoppel.” (Cloud v. Northrop Grumman Corp., supra, 67 Cal.App.4th at p. 1019.) Instead the Court must look for “evidence that [the debtor] acted in bad faith.” (Ibid.)

[I]n the Chapter 7 context, there is generally little need to ponder the possible application of judicial estoppel in a case in which the debtor has failed to schedule a claim. Such a debtor will lack standing to sue on that claim, and a circumstance in which such a party without standing needs to be judicially estopped is difficult to conceive. Under the liberal policy of amendment … such a debtor is entitled to leave to amend to attempt to cure her lack of standing. Once the trustee has either abandoned the claim or substituted in, no possibility of unfair advantage is apparent. … Once an appropriate application is made to the bankruptcy court, the bankruptcy court can take appropriate action to promote bankruptcy goals and protect the bankruptcy court’s process. These considerations confirm the wisdom of the statements in cases such as Ryan and International Engine that the doctrine of judicial estoppel ought to be applied only quite sparingly. In order to determine whether to apply the doctrine in a given case, the facts must be carefully evaluated. That cannot be done on a pleading motion.

(Cloud v. Northrop Grumman Corp., supra, 67 Cal.App.4th at p. 1020-1021.)

Given this motion is a pleading motion, the Court cannot grant judgment on the pleadings on grounds of judicial estoppel. Instead, the proper procedure is “an order granting the motion for judgment on the pleadings with leave to amend insofar as the basis for the motion was lack of standing, and … provide a reasonable time in which plaintiff may either secure the bankruptcy trustee’s participation in, or abandonment of, plaintiff’s claim.” (Cloud v. Northrop Grumman Corp., supra, 67 Cal.App.4th at p. 1021.)

Accordingly, Wachuku motion for judgment on the pleadings is GRANTED.

Here, however, Plaintiff has not sought leave to amend nor indicated her desire to secure the bankruptcy trustee’s participation or abandonment of her claim. Plaintiff must provide a reasonable offer of proof that she intends to do so at the hearing if she seeks leave to amend.

IT IS SO ORDERED.

Dated: June 24, 2026 ___________________________________

Randolph M. Hammock

Judge of the Superior Court